

Module 4

Business Management

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION B – WRITTEN QUESTIONS (Total: 80 marks)

Answer 1(a)

The definition of person-job fit is as follows:

Person-job fit is the extent to which an individual's skills, knowledge, experiences and personal characteristics are suitable for the requirements of his/ her job.

Answer 1(b)

The selection methods that BT can adopt are as follows:

1. Unstructured interviews
This will be good if BT wants to have some free flow conversation with the applicants as this type of interview does not establish list of questions.
2. Structured interviews
BT can develop a list of standard questions that to be asked in the interview so that BT can compare the interview performance with different candidates. And this can ensure some important criteria can be checked from the candidates during the interview.
3. Behavioral interviews
BT can ask the job candidates about past work performance, focusing questions on specific behaviours related to job performance. Especially BT would like to have the employees with flexibility and outgoing, then BT can ask the candidates about their past work behaviours related to these two characteristics.
4. Situational interviews
BT can ask the job candidates how they would react when confronted with specific work situations they would be likely to experience on the job. Thus, BT should think about what possible situations that the Account Executives may face, and then ask the related questions to the candidates.
5. Biodata methods
BT can rely on some forms of multiple-choice, self-reported questionnaires to gather both facts about a candidate and insights into their personality, motivations and attitudes.
6. Assessment centre
BT can prepare a space where the applicants can perform mock tasks that are designed to mirror the work the candidate would be expected to perform. Thus, the candidates can be required to work in the office and perform some of the tasks performed by the Account Executives.

7. Work sampling
BT can prepare some samples of the tasks for the candidates to complete and evaluate their performance.

Or other valid answers.

Answer 2(a)

The approach of SS used was exporting.

Answer 2(b)

The issues that Chris faced are as below:

1. Language issue
The products packages were shown in original language of Country A and thus, Chris is worried about if the local consumers in Country B and Country C understand the ingredients or information of the products. Thus, he may need to think about using the host languages for the ingredients and product information on the product packages.
2. Regulatory requirements
There will be different regulations and policies of doing business in a new country. Thus, Chris needs to investigate the regulations related to selling foreign products in Country B and Country C in order to fit for the local regulatory systems.
3. Social or political issues
Because of the historical relationship between Country A, Country B, and Country C, some people in Country B and Country C may be sensitive to the products imported from Country A and thus, Chris should consider seriously before exporting his products to Country B and Country C and think about strategies to deal with the historical sensitivity.

Answer 3(a)

The product position map of Avenger is as follows:

1. Price and Image
Avenger has been set at high price with premium image to the customers.
2. Price and level of performance
Avenger has been set at high price with high level of performance.

Any one answer, or other valid answers.

Answer 3(b)

The promotion activities that Avenger can adopt are as below:

1. Advertising
Avenger can rely on print ad, newspaper ad, magazine ad, tv ad, poster, outdoor advertising, transit advertising, lighted moving signs, radio, videos, or billboards to promote its premium car.
2. Sales promotion
This is to induce consumers' trial and purchase. Avenger can use discounts, premiums, contests, games and rebates, or lucky draws to promote its brand.
3. Direct marketing
This is a direct way which Avenger can communicate with consumers by using telemarketing, direct mail, or relying on sales persons in the car showroom.
4. Public relations
Avenger can make use of public relations to help the brand differentiate from other brands and address market concerns. It can use press kits or publications to achieve this.
5. Digital and social media
Avenger can rely on modern way to promote its brand by using Facebook, Instagram, Youtube, or other social media platforms.
6. Mobile marketing
Avenger can try to reach out to their customers by sending emails, SMS, or MMS, etc. based on the existing customer database.

Answer 4(a)

The definition of crisis management is as below:

Crisis management is the process of handling unexpected events that negatively affect an organisation.

Answer 4(b)

The crisis management process of the marathon event is illustrated below:

1. Prevention and planning
This stage involves identifying the indicators of a crisis as early as possible. When there is a crisis on the horizon, there are warning signals that managers and leaders should be able to detect. They should then inform other employees and prepare them to face the situation confidently.

Extreme Sports thus need to pay attention to the warning signals, for examples, weather forecasts, profile of the participants in the marathon events, news, etc. To see if there are any potential indicators of the crisis and inform its employees about these.

2. Action

Once a crisis is detected, the crisis management team must act immediately and devise a strategy to prevent the situation from escalating. Managers should ensure that employees stay calm and focused. Key members of the organisation and those who understand the causes of the crisis should discuss and come up with a solution.

Extreme Sports should immediately devise a strategy once the managers have found the indicators of crisis. For example, if there will be bad weather or typhoon crisis, then they need to determine if the event is delayed. The managers also need to help the employees to stay calm and focused so that the solutions of crisis can be developed.

3. Adjusting to changes

After the crisis, employees need to adjust to new situations, recover damages and restore the effective functioning of the organisation. To avoid repeating mistakes, management must analyse the root causes of the crisis and implement new plans or improve control processes.

Extreme Sports can develop new planning strategies for the upcoming marathon events if similar situation, like bad weather or typhoon situations. Moreover, if the current marathon event has to be delayed, there may be clear messages or compensations to the participants to restore the image, etc.

Answer 5(a)

The elements of service concept are as follows:

1. Service time

It refers to the time that a company takes to serve a customer. Companies should have meticulous planning, sharing the right information with customers, setting clear expectations and communicating with customers in the case of any delays.

To ensure immediate service delivered to the guests of RH, RH needs to reduce the waiting time for check in/ out service, delivery time when there are room services requested, etc.

2. Error/ Defects control

Company should imagine what could go wrong and develop strategies for reducing the frequency and impact of service failures, which refers to the performance of a service that fails to meet customer expectation.

RH may need to develop standard operating procedures for their services, including catering requests from the guests, etc. Moreover, RH may consider using automation, or installing check in/out kiosks to facilitate and standardize the services.

3. Service as a strategic goal

By treating service as a strategic goal of the company, there will be tight integration of operations and marketing so that the company can ensure both functions are in sync so the company's delivery capabilities match the expectations created through marketing.

The top management of RH should seriously integrate their service goals into the overall strategic plan. For every project and operation delivered by the hotel, delivering excellent services should be their top priority.

4. Feedback

The Company should often solicit customer feedback immediately following an interaction or a transaction. This will be about how the firm is doing, what it is doing well and should continue to do, and what it should improve on. These insights can help making regarding service design, service offering and employee incentives.

RH can consider placing customer feedback form on the desk in every hotel room to solicit the feedback from their guests. Moreover, selected guests can be invited to provide their feedback, as well.

Answer 5(b)

The techniques of measuring financial risks are as follows:

1. Probability assignment

Probabilities are assigned to possible outcomes. These probabilities may be assigned based on past experience, industry-wide measures, forecasts, simulation or other bases. Once possible outcomes have been identified and probabilities have been assigned, an expected value can be determined.

2. Risk-adjusted discount rates

Under this approach, different discount rates are used for projects with different levels of risk. For a project with higher or lower than normal risk, a higher or lower discount rate would be used.

3. Time-adjusted discount rates

Cash flows associated with the later years of a long-term project are discounted at a higher rate than cash flows of the earlier years. This use of a higher discount rate for later years reflects the increased uncertainty in making longer-term projections.

4. Sensitivity analysis
The most likely set of assumptions is used to compute the most likely outcome. Then one of the assumptions is changed, and the resulting outcome is determined. This process of changing one assumption at a time is repeated until the effect of changing each major assumption separately on the final outcome is known.
5. Scenario analysis
This is similar to sensitivity analysis but multiple related assumptions are changed simultaneously.

Answer 5(c)

Factors that the Chief Financial Officer of RH needs to consider when making financial decisions and illustrations include the following:

1. Macroeconomic conditions
RH should pay attention to the market conditions, like interest rates, tax rates, and inflation/deflation rates. It is because the higher the rates, the higher the cost of capital.
2. Past performance of the hotel
RH should get reference from their previous management's operating and financial decision and the riskiness associated with those decisions because greater the inferred risk in the past performance, the higher the risk premium required and thus the cost of capital will also be higher.
3. Amount of financing
RH should also need to consider the amount of financing sought as the higher the amount, the higher the cost of capital.
4. Relative level of debt financing
RH should understand that increasing the financing sought through debt will increase the cost of marginal debt and result in increasing the cost of capital.
5. Debt maturity
RH should understand the debt maturity as longer the maturity, the higher the cost of capital. Similarly, the longer the debt, the greater the risk of interest rate changes.
6. Debt security
If RH has the greater value of collateral relative to the amount of debt, there will be lower interest rate, or cost of capital.

Answer 6(a)

Three types of primary activities described are as follows:

1. Inbound logistics
CD tries to develop a good relationship with the coffee beans farmers, this can help to ensure the finest quality of the raw materials received.
2. Operations
CD adopts automation and efficient manufacturing plant layout to speed up the operation processes.
3. Outbound logistics
CD adopts efficient and automatic delivery network to transport the coffee beans products from the plants to the stores or the end users.

Answer 6(b)

Any three of the PESTLE analyses of CD are as follows:

1. Political environment
Political environment includes government policies or the corruption levels. Moreover, it will include the stability of the country. Thus, CD needs to pay attention to the government policies in the countries that they import the coffee beans. If the political status is unstable, it may affect the import of the coffee beans.
2. Economic environment
CD has to pay attention to the economic environment, which includes the supply and demand of coffee beans in the market, market share of the companies and the competitors, inflation of the markets and the interest rates of having loans from the bank.
3. Social and demographic environment
CD needs to understand the generational situation in the market, for example, younger generation may want more high quality coffee. Moreover, it is about the lifestyle in the city. For example, people may demand more coffee nowadays or the health concerns may also affect the demand of the coffee. Finally, the ethics and justice will also affect the import of the coffee beans. Some people may want to buy coffee from Equal Trade.
4. Technological environment
The advance in technology will affect the production and delivery processes of CD. This can allow CD to adopt an efficient delivery network and automation in the production processes.

5. Legal environment
There will be different regulations and ordinances in different markets, for example, how to set up a company in that market. When selling products to the end users, there may be some regulations in the market to protect the rights of consumers.
6. Environmental concerns
CD also needs to consider the waste or pollution produced when processing the packed coffee beans before selling to the consumers. Moreover, the location of the manufacturing plants may be a concern as they may produce pollutants to the nearby residents.

Answer 6(c)

The definition of just-in-time system is as follows:

A just-in-time system is a type of inventory control that influences the entire system of production and operations management. This seeks to provide the right part at the right place at the right time – right before it is needed in production.

Answer 6(d)

The advantage and disadvantages of adopting just-in-time system for CD are as follows:

Advantage:

It can allow CD to improve the efficiency and lower the costs by eliminating the need to produce or store idle inventory.

Disadvantages:

1. CD has to take the risk that the suppliers of coffee beans may not be able to supply enough high-quality materials when they are needed.
2. If the demand of coffee beans is underestimated, CD will not have extra inventory on hand to meet the customers' needs.
3. Natural disasters can also have a negative impact on the just-in-time system because they prevent coffee beans from reaching the manufacturing plants in a timely manner.
4. Mode of transport and logistic centres have the impact on the just-in-time system.

Or other valid answers.

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